

Olevel economics

Chp:- Cost and revenues

Topic:- EOS and DEOS



Zarak
MUSHTAG

Mergers

Types of integration

Horizontal :- Two or more firms join together at the same stage of production

E.g. commercial banks joining together

Economies of scale exists

Too large - results in diseconomies of scale

Forward vertical :- Two or more firms join together at different stages of production.

Firm merges with another firm at later stage of production

E.g. car manufacturer merges with car showrooms

Advantage, able to own retail outlets

Disadvantage, management of a firm at different stages of production

Backward vertical :- Two or more firms join together at different stages of production.

Firm merges with another firm at an earlier stage of production

E.g. tea producer merges with tea plantation

Advantage, able to control over its supply of raw materials

Disadvantage, management problems

Conglomerate :- Two or more firms from different industries join together

E.g. Steel producer with tea producer

Advantage, diversify - reducing the element of risk

Disadvantage, is that it could be very difficult to coordinate the operations of economic activities in completely different industries.

alpha

Large firms $\implies$ Major concern for a firm, is its cost, that is
per unit cost or Average cost

$$\text{Average cost} = \frac{\text{Total cost}}{\text{Quantity}}$$

Large scale
 $\Downarrow$
long run
 $\Downarrow$
Efficient allocation
of resources
 $\Downarrow$
factor substitution
labour and capital
 $\Downarrow$
productive efficiency
 $\Downarrow$
cost = min

When a large firm is established

Advantages

Disadvantage

Economies of scale

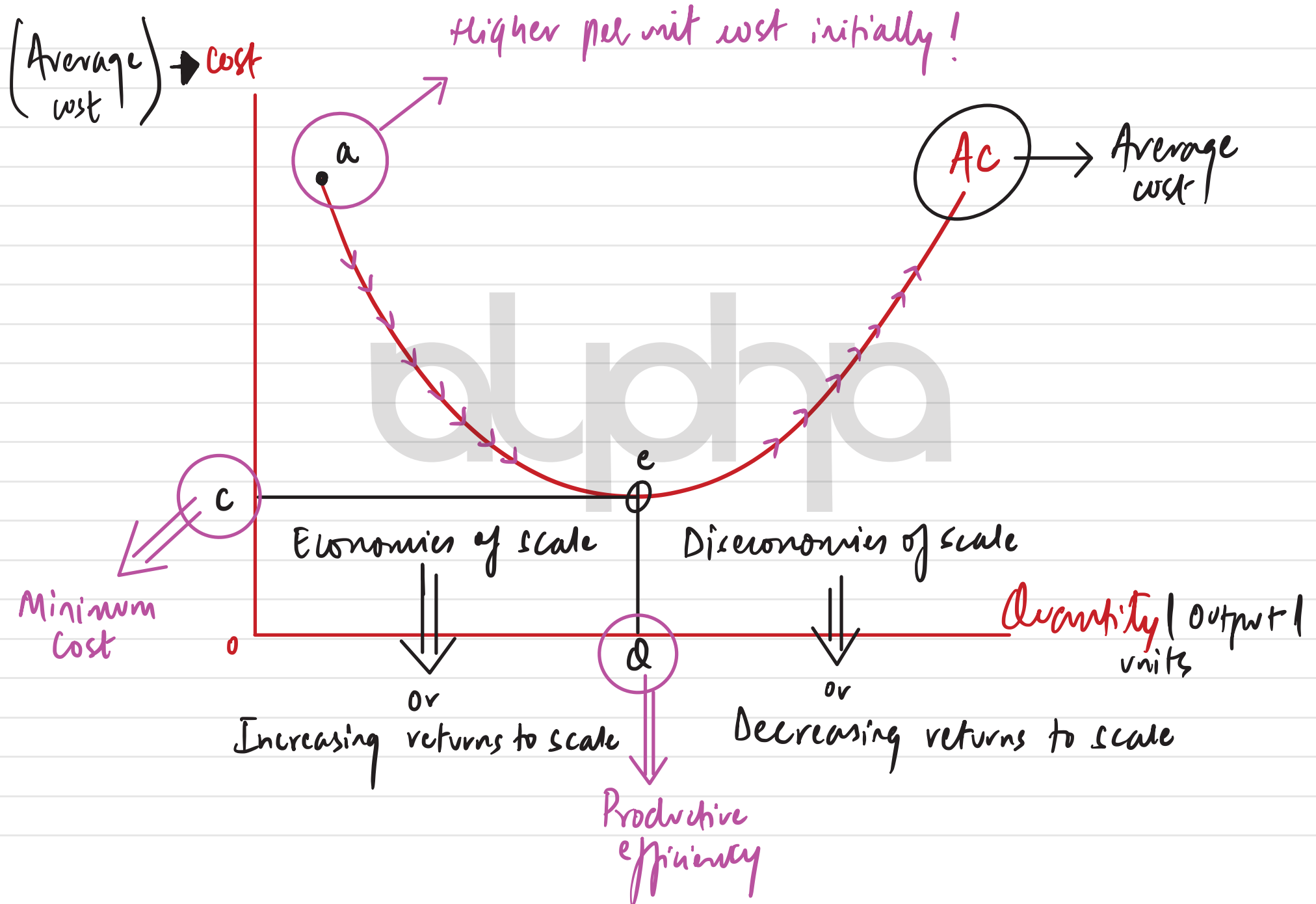
Advantages

large
scale

Diseconomies of scale

Disadvantages

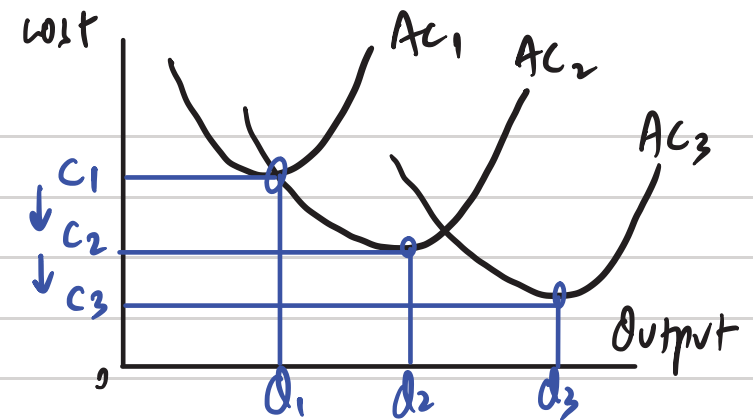
large
scale



Economies of scale :- Falling of average cost



Advantages of operating on a larger scale



Internal Economies of scale : Cost advantages that a particular firm gains from its own increase in output

Technical, large firms can benefit from better techniques of production, such as the use of automated equipment.

Financial, large firms usually find it easier and cheaper than small firms to borrow money because large firms are regarded as safer to lend to. The rate of interest charged will usually be lower to reflect the greater security.

Managerial, large firms are able to recruit the best managers available, as a result of the salaries that they can afford to pay, and this should lead to a greater level of efficiency.

Commercial, large firms are able to take advantage of bulk buying, obtaining substantial discounts for bulk purchases.

Risk spreading, large firms can spread their risks in various ways, including product diversification, market diversification, supplier diversification and product diversification.

External Economies of scale :- Cost advantages that all firms in an industry gain

Transport, Improved transport links, such as new airport, will improve transport links for all firms in an area, cutting distribution cost.

Education, Improved education facilities, such as in local colleges, providing courses that are relevant to the local economy, will benefit all firms in the area

Suppliers, Ancillary firms will become established to provide the necessary components to all firms in the area

Amenities, Improved housing and social amenities will encourage workers to move to the area, providing a pool of labour that all firms can call on

Associated Services, The development of appropriate banking and insurance services that will be of benefit to all firms.

Diseconomies of scale :- Rise in average cost


Disadvantages of operating on a larger scale

Internal Diseconomies of scale :- Cost disadvantages that a particular firm experiences from its own increase in output

Management problems, if a firm grows too large, management of the firm may become less effective.

Technical problems, A large firm may also experience technical problems as it buys new capital equipment

Failure to sell output, If a large firm is producing more than it can sell, the proportion of advertising costs may become too high, increasing the average cost of production.

Industrial relation disputes, such as strikes, are more likely to occur in large firms.

External Diseconomies of scale :- Cost disadvantages that all firms in an industry experience.

Cost of Labour and other factors, It is possible that as an industry grows, the cost of labour could increase as the supply of skilled, specialised labour reduces. The cost of land may also increase as demand exceeds supply, pushing up rents.

Congestion, There will be an increase in transport, increasing congestion, leading to higher transportation cost as journey times are increased.

Pollution, both in terms of noise and air pollution

More expensive housing, The cost of housing may increase, putting workers off relocating to an area.

Multinational companies:- A multinational corporation (MNC) is an organisation that operates in two or more countries. Examples of some of the largest MNCs in the world are: Apple, Exxon mobil, Johnson and Johnson, Coca-Cola and Volkswagen.

Various factors have made it easier for MNCs to operate on a global scale. These include lower transportation costs, advances in technology such as e-commerce, more efficient communication systems and trade liberalization.

Advantages:-

Through job creation, MNCs are able to help improve standards of living in the countries in which they operate, For e.g. Walmart, the world's largest retailer, employs over 2.3m people world wide.

MNCs operate on very large scale and are therefore able to exploit economies of scale. This means that MNCs can pass on cost savings to their customers in form of lower prices.

By operating in overseas markets, MNCs are able to generate more profit by selling to a larger customer base. This benefits their home country too as profits are repatriated.

MNCs are able to spread risks by operating in overseas markets. For e.g. adverse trading conditions in one part of the world can be offset by more favourable circumstances in other parts of the world.

By producing in foreign country, a MNC is often able to avoid any trade restrictions. For e.g. Japan's Honda is able to avoid import taxes in the European union as it has manufacturing plants in Belgium, Italy and France.

Disadvantages:-

MNCs have often been criticised for their unethical and cost cutting practices, such as poor working conditions and low wages for workers in low income countries.

While jobs might be created in overseas countries, MNC can force local firms that are less competitive, to close down. Their huge market power and ability to exploit economies of scale mean that local firms might struggle to compete. Moving and expanding overseas can also have a detrimental impact on domestic employment.

Since many MNC earn far higher sales revenue than the gross domestic product of the host country, they are often in a powerful position to exploit foreign government over decisions such as location of the business and access to finance (government subsidies, grants, loans and tax concessions).

The over reliance on MNCs in low income countries means that there are major consequences should a MNC choose to relocate its operations to another country. For eg. in 2010 French supermarket chain Carrefour pulled out of Thailand and Malaysia, resulting in job losses.

Questions

Marks:

- Q1 Define economies of scale and explain internal and external economies of scale ? 8
- Q2 Define diseconomies of scale and explain internal and external diseconomies of scale ? 8
- Q3 Discuss the advantages and disadvantages of MNC's ? 8